

PURPOSE

This policy governs the use of Cash, which is a corporate asset. Hilton Worldwide manages cash on a daily basis to support the commercial and financial needs of the company. Hilton Team Members engaged in the receipt, disbursement or management of cash on behalf of Hilton Worldwide or any other related groups named herein must follow the guidelines outlined in this document.

POLICY SUMMARY

Hilton Worldwide has established a policy and process to ensure consistency, appropriateness and standardization in its approach to the receipt, disbursement and management of cash. The policy seeks to ensure best practice by ensuring control over and visibility to global cash assets, availability of liquidity and minimization of operational costs.

The Treasury Department ("Treasury") is responsible for managing Hilton's global cash and liquidity portfolio and defining and enforcing the standards in this policy. Hilton Team Members worldwide are responsible for supporting that effort through compliance with this policy and are required to read and comply with all applicable policies. Any questions related to the information contained within this policy, or to any other cash-related topics, should be directed to the Team Members supervisor and/or to the Treasury Department.

BACKGROUND / SCOPE

Hilton Worldwide policies must be reviewed, maintained and made available to all applicable Team Members and contractors to promote compliance and accountability.

APPLICABILITY

Unless otherwise noted herein, this policy applies to all global Hilton Team Members acting on behalf of any corporate entities, Owned and Operated Hotels and timeshare properties.

Team Members at owned, leased, managed and JV hotels are further subject to Operations Cash Policies.

EXCLUSIONS / EXCEPTIONS

No exclusions or exceptions unless outlined in this policy or approved in writing by the SVP and Treasurer.

POLICY DETAILS

A. Payment Methods

Payment method shall be determined by Treasury with the objectives of minimizing transaction costs, manual processes, operational risk and impact to liquidity, while enhancing visibility to cash flows.

The default method for **all Intercompany Payments** shall be via **In-House Bank (IHB) Account or Intercompany Account**, where available. See further details in the *Global Intercompany Payments & Funding Policy* (FP-FIN-201).

The default method for **all other payments** should be **Electronic Batch** (eg, ACH, BACS), where available, unless otherwise noted below or otherwise required by law.

Exception: Certain payments (eg, time-sensitive financial settlements) shall be made via **Electronic Real-Time** methods (eg, Fed Wire, CHAPS), at the sole discretion of Treasury.

- This exception applies to certain UK A/P vendor payments.

Exception: Certain payments shall be made via **Paper** methods (ie, check), when required by the beneficiary or when determined appropriate by Treasury.

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- This exception currently applies to many US and UK A/P vendor and payroll payments.
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B. Payment Release Approval

All approved Financial (see Section C) and Non-Financial (see Section D) payments executed by Treasury must be separately initiated and released (via appropriate bank web site or cash management system) by two different authorized Treasury Team Members.

Electronic payments fully executed by hotels must be separately initiated and released (via appropriate web site or cash management system) by two different authorized Hotel Team Members.

C. Approval of Financial Payments

Financial Payments are payments associated with the settlement of a Treasury-initiated financial transaction (eg, debt, cash investment, derivative, funding, cash positioning transfer).

The following section describes approval required for Treasury execution of Financial Payments. Approvals may be in form of signature, email or system authorization.

1) Cash Transfers & Trade Settlements

Financial payments executed by Treasury either (a) in settlement of a non-debt related Treasury obligation (eg, a derivative settlement) or (b) not resulting in a net change in Hilton's consolidated ownership of cash assets (eg, a cash-for-cash or cash-for-investment transfer) do not require additional approval. These include:

- Settlement of the authorized purchase of a money market security (See *Global Cash Investment Policy* (FP-FIN-202) for further details).
- Settlement of a verified FX/IR derivative (See *Global Foreign Exchange Risk Management Policy* (FP-FIN-203) – [DRAFT] for further details.)
- Settlement of a duly authorized intercompany loan or IHB transfer (See *Global Intercompany Policy* (FP-FIN-201) for further details.)
- Intracompany transfers (e.g., daily cash positioning)

2) Scheduled Debt Payments

Scheduled payment of principal and/or interest on debt requires approval of a Vice President of Treasury.

3) Unscheduled Debt Payments

All Unscheduled Debt Payments (e.g., repurchase or prepayment) require approval of the SVP & Treasurer.

D. Approval of Non-Financial Payments

Non-Financial Payments are payments associated with a commercial or other obligation originated by another Hilton business or operating unit. This includes commercial obligations incurred and paid by Treasury (eg, vendor invoices), but excludes settlement of Financial transactions (see Section C).

The following section describes approval required for Treasury execution of payments at the request of another Hilton organization.

All requests must be documented using the standard *Hilton Standard EFT Request Form*. (see Tools and Templates) and must contain the following information:

- Support to evidence the amount and nature of the payment request
- G/L coding
- Proof of beneficiary payment instructions (as provided by the beneficiary)
- PeopleSoft vendor number for electronic payment of vendor invoices in the US

All requests must contain signature or e-mail approval. Oral approval will not be accepted.

1) US Operations Finance Payments

All requests for payments from US Operations Finance for Owned and Operated Hotels must be

duly authorized in accordance with the *Operations Finance Approval Matrix* (SOP GE-04).

2) HGVC Operations Payments

All requests for payments for HGV must be duly authorized in accordance with the *HGV ACH and Wire Disbursement Authorization Matrix* provided by HGVC Finance.

3) Corporate Payments

Approval of all other payments is subject to the *Corporate Spending & Transaction Policy* (HWI-FIN-106).

In all cases, Treasury reserves the right to seek additional approval from the SVP & Treasurer or EVP & CFO.

E. Receipt Methods	Receipt method shall be determined by Treasury with the objectives of minimizing transaction costs, manual processes, operational risk and impact to liquidity, while enhancing visibility to cash flows. The default method for all Intercompany Receipts shall be via In-House Bank (IHB) Account or Intercompany Account, where available. See further details in the <i>Global Intercompany Policy</i> (FP-FIN-201). The default method for all other receipts shall be Electronic Real-Time (e.g., Fed Wire, CHAPS) or Electronic Batch (e.g., ACH, BACS), unless otherwise noted below. <i>Exception:</i> Certain receipts may be accepted via Paper methods (i.e., check), when required by the payer or when determined appropriate by Treasury or otherwise required by law. Paper checks must be dated no later than the date of receipt. Treasury must be consulted to provide bank instructions for electronic receipts. ▪ Corporate receipts should be directed to the appropriate bank account as directed by Treasury. ▪ Hotel and timeshare receipts should be deposited to the applicable depository or concentration account (i.e., electronic credit card receipts, etc.).
F. Cash Positioning	Cash Positioning is the process of transferring cash between bank accounts owned by the same legal entity and is conducted to ensure timely funding of immediate payment obligations while concentrating receipts and surplus cash in support of Intercompany Funding or Cash Investment as appropriate. See <i>Global Intercompany Policy</i> (FP-FIN-201) and <i>Global Cash Investment Policy</i> (FP-FIN-202) for details. Where possible, Cash Positioning shall be affected via automated process (eg, zero balance account or cash sweep). In the UK and elsewhere as applicable, cash positioning may be handled via netting of individual account balances vs. zero balance positions.
G. Intercompany Funding	Intercompany Funding is defined as the transfer of cash among bank accounts owned by different legal entities and shall be conducted to ensure timely funding of immediate payment obligations while concentrating receipts and surplus cash in support of Cash Investment as appropriate. (See <i>Global Intercompany Policy</i> (FP-FIN-201) for further details.)
H. Restricted Cash	The pledging of cash as security, collateral, or for other restricted purposes constitutes a reduction of liquidity and may conflict with terms of Hilton's financing arrangements. Any establishment or use of restricted cash is subject to CFO approval.
I. House Funds	House funds are maintained by hotels for operating purposes. Specific controls over House Funds can be found in the <i>House Funds Policy (Banks/Floats)</i> (FP-OPSFIN-010)
J. Banking Services	Maintaining good relationships with key banking institutions is an important part of Hilton's financial strategy. Decisions regarding the selection of banks, the use of bank accounts and the provision of other banking services shall be made with the objectives of leveraging key financial relationships, ensuring quality of services provided and minimizing total banking costs.

Treasury is solely responsible for selection of banking partners and approval of bank accounts and other banking services. Hilton will comply with provisions of loan agreements, management agreements or other documents as applicable to banking services. Appointment or termination of banking relationships and banking services must be approved in writing by the SVP and Treasurer or designee.

For further information on the use of Bank Accounts and Banking Services, please see *Global Banking Policy* (FP-FIN-203).

K. Foreign Currency Payments & Receipts

Treasury is solely responsible for managing Hilton's global foreign currency cash flow and foreign exchange risk management needs.

Non-US/UK Offices

Local Finance staff at Owned and Operated Hotels and operating subsidiaries outside the US and UK are authorized to execute FX spot transactions for the sole purpose of converting funds for receipt or disbursement in amounts up to the equivalent of USD 250,000 per day. Splitting larger amounts into multiple trades over several days is prohibited.

Treasury must be notified in advance of any requests for FX trades in excess of that limit.

Treasury may elect, at its discretion, to either (a) authorize execution of the trade by Local Finance staff or (b) have the transaction executed by Treasury staff in McLean, Memphis or Watford on behalf of the local entity.

All derivatives FX trades must be executed by Treasury in McLean or Watford. Execution of FX derivatives by any other Hilton staff is prohibited.

For further details, please see *Global Foreign Exchange Risk Management Policy* – [DRAFT].

PROCESS FLOWS & DIAGRAMS

N/A

DEFINITIONS

Term / Acronym	Definition
Cash	For the purpose of this policy Cash includes funds on deposit in bank accounts. Term deposits, money market securities and other fixed income instruments are considered Cash Investments and covered under the <i>Global Cash Investment Policy</i> (FP-FIN-202). Use of physical currency is addressed under Operations Finance policies.
Intercompany Payment	The non-cash settlement of an obligation in exchange for goods or services between related parties (i.e., two Hilton entities). May also apply to similar payment between a Hilton and a Hilton-managed entity. Typically executed against an Intercompany Account or IHB Account.
Intercompany Account	An intercompany balance tracking accumulated obligations between any two Hilton entities or a Hilton and Hilton-managed entity. Similar in application to an IHB Account, but maintained in PeopleSoft.
In-House Bank (IHB) Account	An intercompany balance monitoring accumulated obligations between an IHB Provider (typically a corporate or finance hub entity) and an IHB Participant (another Hilton or Hilton-managed entity), used for tracking Intercompany Payments (settled by the IHB Participant against other such entities) and/or deposits and withdrawals of surplus cash. Functionally similar to a bank account, but held between related parties. Accrues interest on net asset or liability positions at market rates. Managed by Treasury in a Treasury System.

Electronic Batch Payment	An electronic transfer of cash between banks accounts (e.g., a third party payment or intercompany transfer) executed in batch form, based on instructions provided either same day or, more commonly, one or more days in advance. Typically the least expensive method of payment available. Includes ACH (US), BACS (UK) and other methods.
Electronic Real-Time Payment	An electronic transfer of cash between banks accounts (e.g., a third party payment or intercompany transfer) executed individually, based on instructions typically provided same day and providing real-time acknowledgement. Typically the most expensive method of payment available. Includes Fed Wire (US), CHAPS (UK) and other methods.
Electronic Funds Transfer (EFT)	Any form of electronic payment, including Batch or Real-Time.

ROLES AND RESPONSIBILITIES

Entity / Personnel	Responsibilities
Treasury	Management of Hilton global cash flow, including funding of cash disbursements and concentration of surplus funds across bank accounts and entities for the purpose of liquidity management. Determination of acceptable methods of payment and receipt and of controls

RELATED DOCUMENTS, TOOLS AND TEMPLATES

Policies & Procedures	Location
Corporate Spending & Transaction Policy (HWI-FIN-106)	HWI-FIN-106
Global Intercompany Payments and Funding Policy (FP-FIN-201)	FP-FIN-201
Global Banking Policy (FP-FIN-203)	FP-FIN-203
Global FX Risk Management Policy – Policy	FP-FIN-205
Global Cash Investment Policy (FP-FIN-202)	FP-FIN-202
House Funds (Banks/Floats) (FP-OPS-FIN 010)	FP-OPSFIN-010

Tools / Templates	Location
Hilton Standard EFT Request Form	

APPENDIX

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